

In Part II, I show asset owners can earn risk premiums through exposure to factor risks. Periods of slowing economic growth, high or accelerating inflation, and skyrocketing volatility are bad times for most people. Other factors are tradeable investment styles like value-growth investing, momentum investing, and overweighting illiquid assets. Assets are bundles of factors, each of which defines a set of bad times for the average investor. Over the long run, investors exposed to factors earn high returns. But there is risk. There are superior returns to factors, on average, because during bad times they can underperform—sometimes dramatically. Factor premiums also result from the behavior of investors that is not arbitraged away.

Comparing an investor's set of bad times with those of an average investor allows her to assess whether she can reap factor premiums that will pay off in the long run. If she can withstand bad times better than the average investor, then she can embrace risks that most investors can shy away from. These factors will lose money during bad times, but make up for it the rest of the time with attractive rewards. Factor investing is about comparing how an investor feels and acts during his bad times with how the average investor feels and acts. Different investors will have optimal allocations of factor risks depending on how well they can tolerate losses during their bad times. Just as eating right requires us to look through food labels to underlying nutrients, factor investing requires us to look through asset class labels to underlying factor risks.

Finally in Part III, I discuss how asset owners can add as few bad times as possible when they delegate the management of their portfolios. The worst relationships between asset owners and managers cause the asset owner to endure many more bad times; what is best for the fund manager is generally not in the interests of the asset owner. Appropriate governance structures and contracts can minimize the bad times resulting from agency conflicts. I show that for the most common investment vehicles—mutual funds, hedge funds, and private equity—fund managers have talent, but little of it enriches asset owners, on average, and this result is in line with financial theory. Hedge funds and private equity are not asset classes; both are simply bundles of well-known factor risks wrapped in opaque contracts. Hedge funds are especially exposed to volatility risk, and private equity is largely public equity with a dose of leverage.

The three main themes of this book, then, are:

- Part I: Asset owners need to be cognizant of their bad times.
- Part II: Factors carry premiums to reward the losses during bad times. Factors matter, not asset class labels.
- Part III: Watch that your manager does not load you with another set of bad times.

Asset management is actually about defining the bad times of investors, managing the bad times when investment factors do badly, and mitigating the bad